BEFORE THE
STATE OF NEW YORK
PUBLIC SERVICE COMMISSION

In the Matter of

The Brooklyn Union Gas Company d/b/a National Grid NY and KeySpan Gas East Corporation d/b/a National Grid

Case 19-G-0309 & 19-G-0310

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Prepared Supplemental Testimony of:
Staff Gas Infrastructure and Operation Panel

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Introduction

Q. Members of the Staff Gas Infrastructure and Operation Panel (Panel), please state your names.

A. Our names are Mark Tintera, Qin Shi, Sean Walters, and Brian Fisher.

Q. Has the Panel previously sponsored testimony in these proceedings?

A. Yes. We submitted pre-filed testimony on August 30, 2019. Our testimony addressed the Brooklyn Union Gas Company d/b/a National Grid NY's (KEDNY) and KeySpan East Gas Corporation d/b/a National Grid's (KEDLI), collectively the Companies, proposals related to capital expenditures (CapEx) and operation and maintenance (O&M) expenses.

Purpose of Testimony

Q. What is the purpose of this testimony?

A. The purpose of this testimony is two-fold. First, we will provide corrections to our pre-filed testimony on August 30, 2019. Second, we will respond to the second supplemental testimony filed in these proceedings by the Companies.

Q. In your testimony, will you refer to, or otherwise rely upon any information obtained from discovery request in

this proceeding?

A. Yes, our testimony will refer to Company responses to Staff's Information Requests (IRs). These responses are contained in Exhibit___(SGIOP-9). We will refer to these responses by the designation given when sent, e.g., DPS-123.

Q. Are you sponsoring any exhibits?

A. Yes. We have updated our exhibits from our original testimony to reflect our corrections, and to reflect staff's positions on the updates contained in the second supplemental testimony filed by the companies.

- Exhibit__(SGIOP-9): contains IR Responses which are relevant to our review of the Companies' second supplemental testimony;
- Exhibit__(SGIOP-10): contains an updated and corrected summary of the Panel's CapEx adjustments by Budget Category;
- Exhibit__(SGIOP-11): contains an updated summary of the Net Plant Model Results Comparison; and
- Exhibit__(SGIOP-12): contains an updated summary of O&M adjustments.

Q. What updates and adjustments did the Companies make in their second supplemental testimonies?

A. As discussed by the Staff Policy Panel, there has been a

recent settlement, a development that affects these cases. Following the Order Adopting and Approving Settlement, effective November 26, 2019, in Case 19-G-0678, the Companies lifted a moratorium on new gas customer connections that began in May 2019. To the effectuate the terms of the agreement, and to lift the moratorium, the Companies have revised their CapEx and O&M plans to enable new customer connections. This includes updates to the Customer Connections, Mandated and Reliability budget categories for the Rate Year, as well as updates to O&M program expenses in the Rate Year.

Q. Why does the Panel need to update its position and exhibits in response the second supplemental testimonies filed by the Companies?

A. Our original testimony and exhibits do not address the changes made to the Companies' CapEx budgets in their second supplemental testimonies. Therefore, our testimony is being supplemented, and our exhibits are being updated accordingly, to provide an accurate record of our review, analysis, and recommendations of the updated CapEX budgets. For each CapEx spending category, we will first explain our corrections, and then provide adjustments in response to the Companies' second supplemental testimony.

Customer Connections

Q. Does the Panel have any corrections to the testimony submitted on August 30, 2019 associated with Customer Connections budget category.

A. Yes, we have a correction for KEDNY. In Exhibit ___(SGIOP-4) in consideration of the North East Supply Enhancement (NESE) Project not moving forward, we incorrectly included $520,000 for the Jamaica Inlet project as a portion of KEDNY's Fiscal Year (FY) 2021 CapEx budget, it should be removed. Moreover, as we will discuss later, the Jamaica Inlet project is no longer relevant because the Companies' lifted the moratorium.

Q. Please describe the Companies' second supplemental filing update to the Customer Connections forecasts.

A. The Companies updated their CapEx forecasts for the Install Main/Services, Meter Purchase, Install Meter/Regulator, AMR, and Gas System Reinforcement budget items to reflect the costs for connecting new customers in response to the recent Settlement in Case 19-G-0678. These updated forecasts largely are consistent with the customer connections budgets in the Companies' corrections and updated (C&U) filings. In addition, KEDLI removed the Clean Choice program (CCP) as recommended by the Staff Policy Panel. Therefore, KEDLI

updated its forecasts to reflect the decrease on the number of units forecasted for Meter Purchases, Install Meter/Regulator, and AMR as a result of eliminating the CCP.

Q. Please describe the Companies' updates to the Gas System Reinforcement category under the Customer Connections forecasts.

A. KEDNY updated the Gas Reinforcement System program to remove the cost of the Jamaica Inlet project due to the moratorium having been lifted. This project was added in KEDNY's Rebuttal filing to address low system pressure for the no NESE scenario. The Companies also updated KEDLI's Gas Reinforcement Program by shifting $5 million from FY 2022 to FY 2021 to accelerate Phase 1 of the Southeast Suffolk project in order to support new customer connections.

Q. Does the Panel agree with the Companies' Customer Connection forecast updates for the Gas Reinforcement category?

A. While we generally agree, we do have concerns with specific budget line items.

Q. Please describe the budget line items under Customer Connections the Panel does not agree with.

A. We have concerns and do not agree with the following

budget line items: 1) KEDNY's Install Main Commercial (Comm) and Meter Purchase; 2) KEDLI's Install Main; 3) KEDLI's Meter Purchase, Install Meter/Regulator, and AMR to reflect eliminating the Clean Choice Program; and 4) KEDLI's Gas Reinforcement.

Q. Please describe the Panel's adjustments for KEDNY's Install Main.

A. KEDNY's Install Main is comprised of three groups: Install Main for Residential (Res), Commercial (Comm), and Tariff. The Company developed unit cost based on a two-year average from 2017 and 2018, escalated by 2.5 percent per year. We reviewed the Companies responses to IRs DPS-84, DPS-947, and DPS-1059, and found that the unit cost of Install Main (Comm) for FY 2017 and FY 2019 were higher due to installation of larger than average mains used during those two years, as per the Companies' responses. Based on the higher costs driven by the larger main in the historic period, we recommend using a three-year average (2016, 2018, & 2019).

Q. How did the Panel forecast Install Main (Comm) in the Rate Year?

A. We recommend normalizing the historic data for larger than average mains by excluding one of the FYs. We recommend using 2016 data instead of 2017 data to develop

our average unit cost. Our adjustment reduces the proposed unit cost in the Rate Year for KEDNY's Install Main (Comm) from $589 to $526. We also found that KEDNY's proposed number of units (15,000) of Tariff Main in the Rate Year is approximately two times higher than a three-year historic average (i.e., 6,214 for 2017-2019), and approximately three times higher than a five-year historic average (i.e., 4,870 for 2015-2019). We recommend reducing KEDNY's proposed units for Tariff main from 15,000 to 6,500, a level consistent with the three-year average. Moreover, Tariff Main is about 3 to 14 percent of the total cost for Install Main and the level of arborists need associated with this Tariff Main work can lead to a large variance in the unit cost. For example, the highest unit cost, which was $1,175 in 2017, was driven by the increased need for arborists, while the lowest unit cost, which was $266 in 2018, was due to the need for much fewer arborists. Therefore, we recommend using a three-year average (2015, 2016, & 2019) to normalize the unit cost, by excluding the highest unit cost in 2017 and the lowest unit cost in 2018. This results a downward adjustment of $3.66 million for Install Main, as shown in Exhibit___(SGIOP-10) for RY.

Q. Please describe the updated adjustment for KEDNY's Meter

Purchase line item.

A. For KEDNY's Meter Purchase, we recommend using a three-year average excluding 2019 data and including 2016 data. We recommend using 2016 data instead of 2019 data because the unit cost in 2019 was double the three-year average historical unit cost which, as stated in the Companies' response to DPS-1059, was due to two factors: 1)an increase in the higher cost of large Commercial and Industrial Meters purchased, and 2) a decrease in the total number of residential meters purchased. Our recommendation results in a decrease of $125K for Meter Purchase in the Rate Year.

Q. What groups make up KEDLI's Install Main category?

A. KEDLI forecasts four Install Main groups: Residential, Commercial, Tariff, and Residential Underground Distribution (RUD).

Q. Please explain the Panels' KEDLI Install Main commercial adjustments.

A. We recommend reducing KEDLI's proposed Install Main Commercial footage from 33,000 to 24,000 using a three-year average. Based on our review, we found a three-year average of KEDLI's Install Main (comm) is 23,692 feet. This is also consistent with our proposal for unit cost by using a three-year average.

Q. Please explain the Panels' KEDLI Install Main Tariff adjustments.

A. We decreased the footage of Tariff Main from 36,500 to 15,000 based on a three-year historic average. Based on our review, we found KEDLI's proposed unit was about 160% higher than a three-year historic average. Therefore, we recommended 15,000 feet of Tariff Main in the Rate Year.

Q. Did you review the unit costs associated with KEDLI's Tariff Main item?

A. Yes, we reviewed the historic unit costs. As shown in the Companies' response to DPS-1059, KEDLI's Tariff Main unit cost for 2019 was $369 as compared to $165 in 2017, and $246 in 2018. KEDLI claims the costs were higher in 2019 because of higher contractor costs associated with Department of Environmental Protection dumping cost increases.

Q. Should 2019 costs be normalized for forecasting purposes?

A. Yes. Therefore, we updated the unit cost of KEDLI's Tariff Main using a three-year average, by excluding 2019 data and including 2016 data because the 2019 unit cost was approximately 42 percent higher than a five-year historic average and 55 percent higher than a three-year historic average. Our recommended unit cost of $249 is higher than KEDLI's proposed unit cost of $223 for Tariff

Main.

Q. What is the overall impact of your recommendations for KEDLI's Install Main budget category?

A. Our recommendations result in a downward adjustment of $4.50 million for KEDLI's Install Main in the Rate Year.

Q. Please explain the Panels' KEDLI Meter Purchase and Install Meter/Regulator adjustments.

A. We reviewed the Companies' response to DPS-1058, found the number of units for Meter Purchase, Install Main, and AMR were decreased due to removing the CPP, and as a result, we updated the forecasts on Meter Purchases and Install Meter/Regulator to reflect removing costs associated with the Clean Choice Program. This results in an upward adjustment of 413,656 and 850,153 for Meter Purchase and Install Meter/Regulator, respectively, as shown in Exhibit___(SGIOP___10).

Q. Does the Panel agree with all of the Companies' Gas System Reinforcement updates?

A. No.

Q. What updates on the Companies' Gas System Reinforcement does the Panel not agree with?

A. We do not agree to shift $5 million from FY 2022 to FY 2021 for KEDLI's Southeast Suffolk Infrastructure - Phase 1. KEDLI's originally proposed $20 million in FY 2021

and $21.6 million in FY 2022 for this project.

Q. Why does KEDLI propose shifting $5 million for the Project from 2022 to 2021?

A. KEDLI proposed shifting $5 million for the Project from 2022-2021 to accelerate this project and to be in service by 2022.

Q. Does this proposed shift accelerate the completion date of the project?

A. No. The proposed shift of $5 million from FY 2022 to FY 2021 results in no change to the outcome to complete this project in FY 2022. Therefore, we reject KEDLI's proposal to shift $5 million from FY 2022 to FY 2021 for KEDLI's Southeast Suffolk Infrastructure - Phase 1.

Q. Please summarize the Panel's total adjustment for KEDNY and KEDLI's Customer Connections.

A. Our adjustments result in a downward adjustment of $545K and $9 million for KEDNY and KEDLI's Customer Connection Rate Year budgets in their Second Supplemental Filing, respectively, and as shown in Exhibit___(SGIOP-10).

Mandated

Q. Does the Panel have any corrections to the testimony submitted on August 30, 2019 associated with Mandated budget category?

A. No, we have no corrections associated with the Mandated Category.

Q. Please describe the Companies' changes to the Mandatory category in their second supplemental testimony.

A. The first change the Companies made affects the Contractor Safety Inspections program. In the first supplemental testimony the Companies reduced the budgets for the contractor inspection program to reflect a lower number of contractor inspectors associated with a no NESE scenario, where they expected a reduction in the customer connections work load. Now, as a result of the Companies' agreement to lift the moratorium, the customer connections workload levels are forecasted to resume at levels comparative to their original forecast. The Companies have, therefore, increased the CapEx and O&M forecasts to reflect the higher number of contractor inspectors proposed prior to the moratorium.

Q. Does the Panel agree with the Companies' update to the contractor inspection program?

A. Yes. Given that the budgets have been increased to represent the higher level of workload for customer connections, it is appropriate to increase the number of contractor inspectors to the original forecast. We also confirmed with the Staff Pipeline Safety Panel that the

adjustment for this program, decreasing the Companies' proposal by 5%, should still be applied to this originally forecasted figure. This adjustment is reflected in our Exhibit___(SGIOP-10).

Q. Please describe the other changes the Companies made to the Mandatory category in their Second Supplemental Testimony.

A. KEDLI revised their capital budget for Leak Prone Pipe (LPP) to reflect the terms of new contracts it recently finalized with one of their contractors. This resulted in a reduction to KEDLI's proposed Leak Prone Pipe budget of $1.929 million.

Q. Does the Panel agree with the updated LPP budget?

A. No. We maintain our adjustment proposed in our original testimony for this program.

Q. Please explain given that KEDLI claims the costs are based on a new contract?

A. In attachment 9 of the Companies' response to IR DPS-1043, KEDLI provided a budget impact summary for the new contract. The summary shows an estimated increase in total spends associated with the new contract when compared to the existing contract. Further, we requested the workpapers supporting this estimated budget impact in IR DPS-1080. In the Companies' response to IR DPS-1080,

KEDLI provided another workpaper which shows the total difference in the forecasted spend between the old contract and the new contract, but again, does not but support nor provides further insight into how the forecasted total spends were developed from the new contract.

Q. Please explain why this is not sufficient support.

A. The contract that has been negotiated is complex. It is not one lump sum price paid to the contractor for the Rate Year. Instead, each unit price has been updated. The Companies' support includes a myriad of assumptions to generate the estimated costs and does not justify any increases or decreases in total spend.

Q. What does the Panel recommend?

A. We recommend maintaining our original adjustment to this program. Since the assumptions KEDLI made in developing its forecasted cost increase are unknown, and the contract does not guarantee a certain amount of work, or payment to the contractor, it is unreasonable to assume the significant cost increase proposed by KEDLI at this time.

Q. Did KEDNY make changes to the programs in the mandatory category?

A. Yes. KEDNY updated its proposed budgets for Damage

Prevention. The Staff Policy Panel is addressing that proposed change.

Reliability

Q. Does the Panel have any corrections to the testimony submitted on August 30, 2019 associated with Reliability budget category.

A. Yes. In our initial testimony we proposed delaying the start of the Storm Hardening – Remote Service Shutoff Valves project by one year, however, our slippage adjustment excluded moving the FY 2020 Capital and O&M project expenses into FY 2021. KEDNY's and KEDLI's FY 2020 budgets for this program are $3.136 million and $7.199 million, respectively. Therefore, we removed the program from FY 2021 and applied our proposed blanket reliability category negative adjustment of approximately 26 percent and 29 percent for KEDNY and KEDLI, respectively, to the Companies' FY 2020 budgets resulted in a proposed FY 2021 budget of approximately $2.321 million, and $5.136 million. Performing the same adjustment for the associated O&M expenses resulted in a FY 2021 budget of $0.164 million and $0.289 million for KEDNY and KEDLI respectively.

Q. Did Staff make any corrections to the Panel's Original

testimony related to Newtown Creek?

A. Yes. Staff corrected an error in its plant in service model. Staff adjusted the Budget for the program upward to reflect the most recent forecast.

Q. Please describe KEDNY's updates to its Reliability programs.

A. KEDNY provided updates to its Metropolitan Reliability Infrastructure (MRI) project, Marine Park Regulator Station Program, Clove Lakes Transmission Loop Project, and its CNG and LNG programs.

Q. Describe the updates to the MRI project?

A. KEDNY proposes accelerating the Metropolitan Reliability Infrastructure (MRI) project by one year to provide the hydraulic system support needed to enable new customer connections. The Company proposes moving Phase 1-4 from FY 2021 to FY 2020 and Phase 5 from FY 2022 to FY 2021. According to the Companies' response to IR DPS-1076, KEDNY states that its contractor is able to accelerate the work schedule of this project with no additional costs.

Q. Does the Panel agree with the update?

A. Yes.

Q. Describe KEDNY's update to the Marine Park Regulator Station Program?

A. KEDNY removed approximately $1.0 million in FY 2021 associated with the Marine Park Regulator Station Program citing that the program was only needed to support the NESE project.

Q. Does the Panel agree with the update?

A. Yes.

Q. Explain KEDNY’s updates concerning the Clove Lakes Transmission Loop project.

A. To support new customer connections, KEDNY proposes performing a feasibility study and engineering analyses for the Clove Lakes Transmission Loop Project, with an associated budget of $0.5 million in FY 2021.

Q. Does the Panel agree with the update to the Clove Lakes Project?

A. Yes.

Q. Please describe the Companies’ proposals concerning CNG and LNG.

A. The Companies are proposing to construct a CNG Filling Station located on Staten Island to transport CNG to KEDNY and KEDLI injection sites. The project cost is estimated to be $0.2 million in FY 2020 and $18.8 million in FY 2021 and is reflected in KEDNY’s capital investment forecast with KEDLI paying 50 percent of the cost as a rental. The Companies state that without the additional

supply of NESE they will be unable to take their LNG tanks out of service to inspect and rehabilitate them as originally planned. As a result, they have developed a streamlined approach to inspect and repair their existing LNG tanks. Using this new approach, KEDNY's two Greenpoint LNG tanks will be taken out of service, inspected and repaired during off-peak seasons and then placed back into service during the critical winter heating season. Additionally, KEDNY proposes to delay the start of the LNG Truck Load/Unload Program that is described in their April 30th filing, from FY 2020 to FY 2021. In order to remain on schedule, KEDNY proposes to compress the remaining work plan, at a projected cost $2.44 million, of which $1.55 million will be in FY 2021. On page 13 of 20 of the KEDNY's Gas Infrastructure and Operations Panel second supplemental testimony, it cites a failure to execute a Memorandum of Understanding (MOU) with the City of New York as a reason for the delay. Finally, KEDNY proposes several new investments for its Greenpoint LNG site. These plans include the addition of portable LNG capabilities at the site that will allow LNG delivered via truck to on-system injection points, requiring a capital investment of $0.5 million in FY 2020 and $4.5 million in FY 2021 for permitting, engineering,

and site work, and two additional vaporizers with a cost of $1 million in FY 2020 and $13 million in FY 2021.

Q. What is the total financial impact of these reliability upgrades and updates?

A. KEDNY's proposed reliability project and program updates account for capital forecast increases of approximately $25.5 million in FY 2020 and $29.5 million in FY 2021.

Q. Does the Panel agree with KEDNY's updated proposals?

A. After reviewing the Companies' response to information requests DPS-1075, DPS-1076, and DPS-1077 we believe the projects are necessary to continue to provide safe and adequate service.

Q. Please describe KEDLI's updates to its Reliability program.

A. In order to meet increased gas demand from new customers, KEDLI proposes doubling the capacity of its existing Glenwood CNG facility at a cost of $0.5 million in FY 2020 and $6.5 million in FY 2021, in addition to adding two CNG injection facilities at undetermined locations at an estimated cost of $0.98 million each in FY 2020 and $9.9 million each in FY 2021. KEDLI proposes taking its Holtsville LNG tank out of service, inspecting and repairing it during the off-peak seasons and then placing it back into service during the critical winter heating

season. The change in scope of work will add $0.3 million in FY 2020 and $3.658 million in FY 2021 to the Holtsville LNG tank upgrade project.

Q. What is the total financial impact of these reliability upgrades and updates?

A. KEDLI's proposed reliability project/program updates account for capital forecast increases of approximately $2.8 million in FY 2020 and $30 million in FY 2021.

Q. Does the Panel agree with KEDLI's updated proposals?

A. We find the updates reasonable and necessary to support the connection of new customers.

Q. Does the Panel have any adjustments to the Companies' reliability category forecast?

A. Yes. We recommend adjustments to the Companies' updates using the methodology consistent with our adjustments made to the reliability budget in our direct testimony.

Q. Please explain.

A. As stated in our direct testimony, we found significant variances resulting from over-estimating project/program costs between planned and actual spending in the reliability category. Based on these variances, we propose an application of the same negative adjustment of approximately 26 percent and 29 percent for KEDNY and KEDLI, respectively, to the Companies' proposed Rate Year

budgets and to all newly proposed or updated programs and projects within the reliability category.

Q. Why should the same adjustment be applied to the Companies supplemental filing?

A. We recommend that until the Companies can demonstrate the ability to accurately forecast reliability budgets without over-estimating that Staff's methodology to adjust the Companies forecast budgets still provides for a more accurate forecast.

Net Plant and Deprecation Expense

Q. Does the Panel have any corrections to the Net Plant proposed in the testimony filed on August 30, 2019?

A. Yes. In our original filing, we inadvertently double counted the reduction in net plant for the no NESE scenario. We subsequently provided a corrected Net Utility Plant model.

Q. What are the Panel's Rate Year projections for gas net utility plant in service and gas depreciation expense?

A. We project gas net utility plant in service of $5.805 billion for KEDNY and $3.988 billion for KEDLI, and gas depreciation expense of $145.8 million for KEDNY and $97.1 million for KEDLI. These figures were provided to the Staff Revenue Requirements Panel.

Q. How do the Panel's recommendations compare to the Companies' Second Supplemental filings?

A. As shown on page one of Exhibit___(SGIOP-11), we recommend adjustments that, in total, reduce KEDNY's Rate Year average gas net plant in service by $2.7 million, and reduce its annual gas depreciation expense by $13.8 million. We recommend adjustments that, in total, reduce KEDLI's Rate Year average gas net plant in service by $10.3 million, and reduce its annual gas depreciation expense by $10.8 million.

O&M

Q. Do you have any corrections to the O&M adjustments proposed in your testimony filed on August 30, 2019?

A. Yes. Our adjustment to the O&M expenses associated with the storm hardening program have been corrected as explained in the Reliability category above. This correction is reflected in our Exhibit___(SGIOP-12). This is the only correction.

Q. In the Companies' second supplemental testimony, did the Companies update the proposed O&M expenses associated with GIOP programs?

A. Yes. The Companies updated the O&M expenses to add incremental funding for the expansion work at the

Glenwood CNG site. They also propose incremental funding for the two new CNG sites that will be required at locations yet to be determined.

Q. Does the Panel agree with these incremental expenses?

A. Yes. Given the need to meet new and increased demand, these incremental expenses for the associated capital investments are appropriate.

Q. Does this conclude the Panel’s testimony?

A. Yes